

duration of the channel swing, the profit could [double]. The stop-loss level, at \$22.25, is just below the low of the recent dip. I think this might be a better channel play than a pennant play.”

The day I bought is the day the stock broke out downward from the pennant.

- Lesson: Sell on an adverse breakout.

Three days later, I wrote, “I expect to be stopped out of this stock tomorrow as it closed at 22 3/4 and my stop is for 22 1/4. There is a lesson here, and that is, if the formation and your expectations of its performance go wrong, sell it. In this case, the pennant formation broke down on high volume when the stock dropped 3/4 of a point after purchase. I should have sold as the formation's volume indications were now wrong.”

A week later, 23 January, I wrote: “I was stopped out of the stock today at \$22. I lowered the stop by 1/8 point from 22.25 to 22 1/8. The decline seems to have caught me. As I watched the stock each day, it rose in the morning and fell in the last hour (except today: it sank from the beginning). It looked to me like manipulation as some mutual fund sold shares in the afternoon, forcing the price down for whatever reason. Well, I should have sold the stock after the pennant broke down. Instead, I now have a loss. Live and learn.”

- Lesson: Never lower a stop-loss order.

I took a loss of 15% in 8 days and made several mistakes along the way. The stock bottomed on the day I sold and five days later, started closing higher, forming a new uptrend. The stock continued rising and pushed well above the top of the pennant, to end where it peaked back in September 1995.

Sample Trade

Consider the situation illustrated in [Figure 48.6](#). The pennant obeys the identification guidelines shown in [Table 48.1](#). The pennant looks odd